

Credit Assessment & Proposed Facility

ETHK Labs Inc. (HKEX: 1931), formerly IVD Medical Holding Limited, has undergone a significant strategic transformation since 2025. Historically focused on the in-vitro diagnostics (IVD) business, the Group has progressively expanded its strategy into **Ethereum treasury management, AI healthcare, healthcare IT, Web3 and RWA opportunities**, positioning itself as a broader healthcare and digital-asset platform.

A key milestone was reached on **8 August 2025**, when the Group completed its first acquisition of approximately **5,190 ETH** at an average cost of around **HK\$28,798 per ETH**, representing approximately **HK\$149.5 million**. Management subsequently explored a potential cryptocurrency investment programme of up to **HK\$3 billion over 36 months**, although this represented an investment ceiling rather than an amount already deployed. The Group subsequently rebranded as **ETHK Labs Inc.**, reflecting its evolving strategic direction.

From a relationship perspective, the transformation presents an opportunity for the Bank to establish an early relationship with a listed company that may develop broader requirements in **corporate banking, cash management, treasury, cross-border transactions and strategic investments**.

Financial Performance

The Group's legacy healthcare business continues to generate substantial revenue, although profitability has weakened during the transition period.

FY2025 revenue was approximately **RMB2.82 billion**, representing a decline of around 10.8% year-on-year, while net profit declined by approximately 86% to around **RMB37 million**. At the same time, borrowings increased materially and financing costs rose.

The latest **1H2026 results** provide a mixed but more current picture. Revenue increased by approximately **6.6% year-on-year**, demonstrating continued operating activity, although the Group recorded an attributable loss of approximately **RMB70.5 million**. The profit warning announced on **26 August 2026** indicated that the loss was primarily related to higher personnel and administrative expenses, increased financing costs and higher expected credit-loss provisions on receivables and other financial assets.

Accordingly, while the Group's revenue base remains meaningful, its current earnings and cash-flow profile warrants a prudent approach to incremental bank exposure.

Credit Approach

Given the Company's ongoing strategic transition and recent financial performance, we propose a **100% cash-backed credit facility** as the initial banking relationship.

The facility would be fully supported by cash collateral maintained with the Bank, thereby substantially reducing the Bank's direct reliance on the Company's future operating performance, ETH price appreciation or successful execution of its new Web3/RWA initiatives.

The proposed structure also provides an appropriate platform for the Bank to develop the relationship while maintaining a conservative risk position. Subject to satisfactory documentation, the cash collateral should remain unencumbered and under the Bank's control, with standard set-off and security arrangements.

Overall Credit View

We view ETHK Labs as a **strategically evolving listed healthcare group with meaningful revenue generation and potential long-term growth opportunities**, but currently operating through a period of higher investment, cost pressure and financial transition.

The Group's ETH strategy should be viewed as a strategic treasury initiative rather than the primary source of debt repayment. The Bank's proposed exposure would instead be protected by **100% cash collateral**, providing a strong initial risk mitigant.

We therefore support establishing the relationship through the proposed cash-backed facility, subject to standard KYC, source-of-funds verification, collateral and credit conditions. Future increases in unsecured exposure can be considered progressively, subject to demonstrated improvement in profitability, operating cash flow, liquidity and leverage.